Mohnish Pabrai's Interview with CNBC TV18 on October 22, 2026

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Nigel: War uncertainty over the AI boom. The outlook for Wall Street and elections could reshape the US markets. While global equity markets remain uncertain, where are the opportunities? Well, to understand how he is reading the global markets and what it means for Indian investors, let us go straight to renowned investor and philanthropist, Mr. Mohnish Pabrai.

Mohnish, it is good to have you on the show. It has been a while since we caught up, and I am glad to have you on the show after a few years.

Mohnish: Nigel, it is great to be back here. The festive season is around the corner, and I hope you have a wonderful set of holidays.

Nigel: I wish you and your family a happy festive season as well, Mohnish. I know your heart is always in India, though you are sitting out in the United States.

Mohnish: Absolutely.

Nigel: Mohnish, let us get straight to talking about equities, and let us talk about the mother market, the US market. It has remained resilient, right? Despite those inflation concerns and elevated bond yields, there is surprisingly little talk of any US slowdown or even a recession. Do you believe that the American economy is strong enough? And do you think that the bears out there are being sidelined for the time being, but could show up, particularly in the US markets, which have been extremely resilient?

Mohnish: Well, I would say, Nigel, that we do not have any other country in the world like the US. It is a unique place. It is a wonderful place. It definitely has its problems. But in terms of the economic engines, the innovations, and the Elons of the world and all of that, there are a lot of tailwinds. At the same time, when we look at it from an investing markets point of view, we have some, let us say, weird lopsidedness going on in the US currently.

Nigel: As you said, the US markets have done well. They have been quite resilient. The economy seems to be in pretty good shape as well. But where are you placed with regard to this AI trade?

Mohnish: Just to give you one data point that you might find interesting, the value of the entire S&P 500, all 500 companies, 16 years ago, in 2010, was about $10 trillion. Today, the top two companies, Nvidia and Apple, are over $10 trillion. You have a massive skewing in how this kind of value has changed in the last 16 years, and it has changed in an extreme manner. Markets go through ups and downs and periods of euphoria and periods of depression. On the AI side, the men will eventually be separated from the boys.

Nigel: With the US midterm elections approaching, how much could the political outcome matter for global equities, and what are the odds of Mr. Trump coming out on top?

Mohnish: Well, my best guess is that the midterms are not going to end up making a lot of change because these are all individual races in different places, and it is not all decided based on whether people like or do not like President Trump.

Nigel: If I were to break it down, you manage closer to around a billion and a half dollars or thereabouts. But Turkey accounts for 55% to 60% of your portfolio. Despite its high inflation, it also has its own set of currency challenges. What makes the investment in Turkey, which is not something we hear about often, so compelling for you?

Mohnish: What I noticed about eight years ago, in 2018, was that Turkey was screening as probably the cheapest market in the world. I was curious to kind of kick the tires a little bit, and I have a good friend in Istanbul, one of the largest fund managers in the country. I said, "Look, I would like to visit the companies in your portfolio if you would be okay with that," and he was excited to do that. I made my first trip in 2018, and it was a big eye-opener. Exactly what I had been seeing on paper became clear when I started meeting the individual companies and looking at what the valuations were and what the prospects of those businesses were. It was truly extremely lopsided.

Turkey had high inflation. It had an unstable currency, but I was able to look at businesses where those factors become irrelevant. When I looked at businesses where inflation was irrelevant or the currency was irrelevant, the market had given up on everything, and so the valuations were extreme. To put it in context, I was picking up assets worth a dollar for two or three cents, 3% or 4% of liquidation value. It was widely mispriced.

The other unusual thing about the Turkish market that I noticed, which is different from the Indian market, is that almost the entire market, including retail participants and even institutions, is extremely short-term oriented. The float of the average Turkish public company cycles every 17 days. It is like looking at a company in India, such as Reliance or Titan, and seeing trading volumes like that in its free float. We do not see anything like that in India. We do not have that type of short-termism.

Buffett has a quote. He said the market is a mechanism to transfer wealth from the active to the inactive. If you take a buy-and-hold approach anywhere in the world and hold great businesses, you are going to do well. In Turkey, almost no one is doing fundamental analysis.

When I look at a place like India, I see that maybe there are 100 or 200 great investor businesses there, and they are picked over. There are smart investors in India who bid them up in price.

If you look at a business like DMart, for example, it is a wonderful business, but there have been no returns to the equity holders for the last six or seven years, not because the business is not doing well, but because it was bid up so much in price because people loved it so much. Asian Paints is in the same situation. Tata Consultancy Services is in the same situation.

You are more familiar with this, Nigel, but over the last few years, the Indian markets have not delivered. They have not delivered, not because the companies are not great. There are some good businesses in India. It is that those businesses were bid up to prices that made no sense. Like in the US, if you were to invest today in Nvidia, Apple, or TSMC in Taiwan, I do not think you will be looking at great results 10 years from now.

Nigel: Take us a little bit through that investment thesis in Turkey, and we will close the loop on Turkey after this. Your investment in Reysas is an investment that has delivered extremely good, solid, exceptional returns for you. What was the thought process behind making that investment?

Mohnish: I would say that if you look at a company like Reysas, which is a REIT, we have several REITs in India that are publicly traded. Reysas was a company that, seven years ago, when I first invested, had a market cap of less than $20 million US. Its liquidation value was about $800 million, so, it was trading at less than 3% of what it was worth. Crazy numbers.

The trading volumes were high, so for $8 million, we were able to buy one-third of the company. Turkey, unlike India, does not impose restrictions on how much of a company a foreign investor can own. Today, seven years later, we own more than 42.5% of Reysas, and the market cap is over $2 billion. It has gone up 100 times in dollar terms. In lira terms, it has gone up infinitely, but who cares about that? It is still undervalued.

The liquidation value that was $800 million seven years ago is now over $3 billion. What I did not realize when I was buying the business seven years ago was how good the management and the promoters were. I thought, "Okay, this company is kind of like buying something worth a million dollars for $20,000 or $30,000." They are compounding the business the way Titan or DMart are compounding. But it is like buying Titan or DMart at a P/E of three or four. We do not have that opportunity currently in India.

My hero, Charlie Munger, has a quote: "Take a simple idea and take it seriously." When I looked at Turkey and saw this dynamic of short-term traders, where no one was looking at these businesses, I found that there were a solid 70 to 80 businesses in Turkey that have good governance. I went through that that list and picked the highest-quality businesses I could find.

Nigel: Let us get straight to India. You have less than 2% of your portfolio in India. What is that a reflection of? Expensive valuations, a shortage of opportunities, or simply the fact that you are finding better opportunities elsewhere?

Mohnish: In the past, we have had 40% to 50% of our portfolio in India at times. When I look at the opportunities in India and compare the opportunity set with that in some of the other places, the issue is that India has some really good businesses that have great prospects and will do really well in the future. The issue is that it also has some smart investors who have figured that out and have priced those businesses to perfection.

When I encounter or find a great business in India, I usually find that it is either fully priced, or more often, overpriced. We have more than 5,000 listed companies on the Indian exchanges, the NSE and Bombay Stock Exchange, and maybe 100 or 200 of them have great governance, great

business models, and great management. That is really the investable universe from my point of view. Those 100 or 200 businesses are well-known, well-liked, and bid up too much in price, in my opinion.

For someone like me, sitting so far away from India, my ability to find a diamond in the rough, a 100-bagger, a potential 100-bagger, is much more difficult in a place like India than even in the US, for that matter, Turkey or several other geographies.

There have been many times in the past when India has offered tremendous value, and today, India offers better value than it did two or three years ago. The valuations have come down, and there have been some adjustments, but they have not adjusted to the level that entices someone like me. However, I keep watching, and it might become an interesting place in the next few years. We will see.

Nigel: Mohnish, you would be speaking to a lot of global investors as well, and India has not been top of the pops with regard to foreign influence. What do you think would get that attraction back for the Indian markets? Would it be lower valuations? Would it be a correction in crude oil prices? Or, more importantly, how big an issue is taxation?

Mohnish: India has some of the best business leaders and best entrepreneurs in the world. You know the joke about how the economy grows at night when the government sleeps. India does not do well because of its laws, rules, taxes, and government. It does well in spite of them. There are a lot of Indian entrepreneurs who, with their hands tied behind their backs, still do really well.

One of the big positives for India is its tremendous entrepreneurial energy, tremendous management prowess, a great market, and great export prospects. All of those things are tremendous for India.

I also feel that investors in India have the opportunity, with LRS and all of that, to invest outside the country. When we look at how Indian families have historically invested, they have moved into the equity markets, which is really good. It is wonderful to have that exposure, but they would be well-served to look at equity markets outside India as well, because there are a lot of great assets in different places, and getting exposure to those would be a net positive for those families.

Nigel: Mohnish, let us get back to what you have mentioned in passing about India potentially providing opportunities in some of its listed companies. Are there any companies that are standing out here in India? In the past, you have taken concentrated bets, and they have delivered good returns for you, whether you look at the real estate investments you have made or probably the CPC maker here in India as well. Are there a couple of investment ideas on your radar here in India that are catching your attention?

Mohnish: Currently, I do not have much. We have a couple of positions in India.

One is Edelweiss, which is going to spin out EAAA next week. There is an IPO coming next week for EAAA. That looks interesting because the company they are going to spin out is going to have a higher market cap than the parent. So, there is a bit of mispricing there, which is interesting for us.

I like that business because they have other IPOs that will be coming out soon, such as their mutual fund business and some other businesses in insurance and so on that they will spin out.

In general, the financial services sector in India, even though it has gone through a lot of growth, is extremely embryonic. We used to have a small investor base relative to the population of the country. That has grown over the last seven or eight years, but compared to where it will be in the next 10 or 20 years, it is still embryonic.

That is the big positive about India. There is a lot of runway ahead, and if we can identify some businesses with reasonable valuations that can take advantage of those runways, it can work out well.

Nigel: Before we wind this down, Mohnish, let us get a couple of factors out of the way. The US markets are on fire. Do you think there is a probability that they will cool off a little bit? Also, if you could quickly comment on some of those Asian peers, Kospi and Taiwan, which have been going gangbusters this year. Any comments on those markets? Why have they not caught your attention?

Mohnish: I would say that the US markets, if you look at the index, the S&P 500, for example, are not going to be a good place to be for the next 10 years. I would say that the average annual returns for the S&P 500 over the next 10 years will be between plus 2% a year and minus 2% a year. In other words, flat. It is not going to go well.

When we look at markets like Korea, the Kospi, for example, it is really a memory story. Samsung and SK Hynix are key players. In a gold rush, you want to own the companies making the pickaxes. If there are any businesses in the AI sector that are likely to do well over the long term, they will be the Nvidias of the world and these memory companies, like Micron, and the TSMCs of the world. All of them have to go for that.

One thing we have to keep in mind is that the amount of spending taking place in AI is enormous. You hear these numbers: This company is going to spend $100 billion, $300 billion, or $500 billion. What they are getting for that money compared to what they would have gotten for that money five years ago is a five-to-one difference. There has been massive inflation. They are funding the memory companies. It is all going into the profits of the memory companies, with 80% to 90% margins, as well as the TSMCs and Nvidias of the world.

The AI software companies are paying through the nose for things that were valued at one-fifth of their current valuations. There is a lot of inflation in the spending taking place. The place to look at is where that money is going. The toolmakers, the pickaxe makers, are likely to do well in that equation.

But I also feel that if one fully sidesteps the AI bet, that can work as well. We have no AI bets, for example, because we have gone to areas of the markets that people have no interest in, and we have found tremendous value there. That is where I like to be. That is wonderful.

Nigel: Well, Mohnish, it is always a pleasure having you on the show. Thanks a lot for joining us, sharing your investment thesis, and explaining how you are positioned globally. We got the point that Turkey is your top investment bet

in terms of the companies there, the US comes in second place, and India has much less exposure, at least for now. We appreciate you joining us and look forward to chatting with you again soon. Thanks a lot for joining us.

Mohnish: Always a pleasure, Nigel.

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